



Petroleum E-Trading Business Regulation

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CHAPTER 1. General Provision

§1. Purpose

For the efficient distribution and discovery of fair price of petroleum products by way of competitive auction in the electronic trading (hereinafter referred to as “e-trading”) of petroleum products, which is operated by the Korea Exchange (hereinafter referred to as the “Exchange”), the purpose of this Regulation is to stipulate the methods of quotation input, trade execution and settlement, admission and withdrawal of participants, the rights and obligations of participants, and other matters that are necessary for e-trading of petroleum products.

§2. Definitions

(1) The terms used in this Regulation shall have the meaning given to them in each of the following Items:

1. The term “e-trading” shall refer to, as an e-trading of spot petroleum operated by the Exchange, an auction carried out pursuant to [§37 and §38]. However, the transaction noted in each of the following Subitems shall be regarded as a negotiated trading and be excluded from the auction:

a. Transaction where the same person is the seller as well as the purchaser;
and

b. Transaction of which seller has not fulfilled the settlement obligation pursuant to [§51(1)2].

2. The term “participant” shall refer to, as a petroleum business operator pursuant to [§3], the entity that has obtained from the Exchange the rights to participate in trading of petroleum product.

3. The term “trading system” shall refer to the system that the Exchange develops and operates for the purpose of handling the functions such as quotation receipt and matching and settlement of transactions.

4. The term “participant’s terminal device” shall refer to the terminal device that the participant uses to connect to the trading system by downloading and installing the quotation input program supplied by the Exchange for the purpose of inputting quotation details.

5. The term “quotation input program” shall refer to the program used to connect to the trading system from the participant’s terminal device to handle the tasks related to trading of petroleum, including inputting, correcting and cancelling the quotation details, verification of trading and settlement details, price data and market notices and delivery of notification and confirmation of receipt thereof.

6. The term “quotation” shall refer to the sell or buy intention that the participant expresses to conduct a trade.

7. The term “product” shall refer to the product name classified according to the type of petroleum products, application of temperature correction or selling of products of other refineries and the trade name per region or petroleum storage facility. (Amended on November 15, 2012)

8. The term “closing of trade” shall refer to the time when trading hours noted in [§20] is ended.

9. The term “market surveillance” shall refer to such activities as the overseeing and analyzing the quotation and trading conditions and circumstances, and investigating and inspecting such materials as the business and financial books and documents of related participants to confirm if the participants complies with the use agreement that the participant entered into with the Exchange (hereinafter referred to as the “Use Agreement”) and this Regulation,

(2) Unless otherwise defined in this Regulation, other terms used in this Regulation shall have the meaning given to them in the Use Agreement.

CHAPTER II. Admission and Withdrawal/Expulsion of Participants, etc.

Section 1. Admission of Participants

§3. Qualifications of Participants

(1) To become a participant, the entity shall correspond to any one of the following Items (hereinafter referred to as the “petroleum company”): (Amended on May 2, 2012; November 15, 2012; May 16, 2013)

1. The petroleum refinery operator (hereinafter referred to as the “refinery operator”) pursuant to [§5] of the Petroleum and Petroleum Substitute Fuel Business Act (hereinafter referred to as the “Petroleum Business Act”);
2. The petroleum import and export business operator pursuant to [§9] of the Petroleum Business Act (hereinafter referred to as the “import and export business operator”);
3. As a petroleum distributor pursuant to [§10] of the Petroleum Business Act, the regular dealer pursuant to [§2/1] of the Enforcement Decree of the Petroleum Business Act (hereinafter referred to as the “authorized dealer”)
4. As a petroleum distributor pursuant to [§10] of the Petroleum Business Act, the petro station pursuant to [§2/3] of the Enforcement Decree of the Petroleum Business Act (excluding the petro station whose owner and at least one of the participants noted in Items 1 through 3 are the same person or the petro stations which have an identical corporate registration number; hereinafter referred to as the “petro station”). (Amended on November 15, 2012)
5. As a petroleum distributor pursuant to [§10] of the Petroleum Business Act, the retail petroleum distributor pursuant to [§2/4] of the Enforcement Decree of the Petroleum Business Act (excluding the retail petroleum distributor whose owner and at least one of the participants noted in Items 1 through 3 are the same person or the petroleum distributor of which the corporate registration number is the

same: hereinafter referred to as the “petroleum distributor”). [November 15, 2012]

(2) The participant who voluntarily withdrew its participantship shall be allowed to become a participant pursuant to Para. (1) after one (1) year has elapsed since the date of withdrawal. However, the provision on the period of time elapse above shall not be applied to the cases where the voluntary withdrawal from the participantship was made for the purpose of choosing between one of the participantship categories noted in Items 1 through 3 of Para. (1) and the participant category noted in Para. (4).

§4. Application for Participant Admission and Review and Approval Thereafter

(1) The company intending to become a participant shall complete the application for participant admission shown in Annex 1 and submit it to the Exchange.

(2) After verifying if the application pursuant to Para.(1) meet the formality, the Exchange shall examine if the details noted in the application meet the participant admission requirements noted in [§5].

(3) The Exchange may undertake an onsite investigation to verify the details stated in the application, conduct the face-to-face interview with the applicant, etc.

§5. Requirements for Admission of Participant

The company intending to become a participant shall meet the requirements noted in each of the following Items: (Amended on May 2, 2012)

1. As of the submission date of application for admission, the applicant shall be engaged in the petroleum business pursuant to the Petroleum Business Act and have the record of trading petroleum products in the recent two (2) months;
2. As of the application date for admission, because of such operations as the manufacturing or sale of petroleum product, the applicant shall not have been

subject to such disciplinary measures as the business suspension or a measure equivalent thereto, that is imposed pursuant to the Petroleum Business Act; and

3. In case of an authorized dealer, as of the application date for admission, it has passed at least one (1) year since the registration as a petroleum business operator. In this case, if the authorized dealer that has not yet passed one (1) year since registering as a petroleum business operator has recorded over KRW 5 billion of sales amount in the previous year and has no record of non-payment of tax in the recent two (2) years, it shall deem that such authorized dealer meets the requirement of passing at least one (1) year since registering as petroleum business operator. (Amended on July 13, 2012) [Proviso on November 15, 2012]

4. In case of a petroleum distributor, it shall be equipped with a storage facility with over 20,000 liter capacity per petroleum product (excluding gasoline for automobiles) pursuant to [§24(3)] and have passed at least one (1) year since registering as a petroleum business operator. [November 15, 2012]

§6. Notification of Admission Approval

(1) The Exchange shall notify the applicant its approval decision within seven (7) days of completing the examination of application via the method that the applicant specified in the application for participant admission. In this case, it shall deem that the notification is put into effect when the applicant has received the notification.

(2) When notifying the applicant of the approval of application for participant admission, the Exchange shall notify the applicant the participant's identification number (hereinafter referred to as the "ID") [as an ID that the Exchange assigns to the participant for the purpose of connecting to quotation input program, it is made up five (5) digit participant's number and three (3) digit branch number ('000' shall be assigned to the representative ID); the same hereinafter] and a temporary password (referring to the temporary password given by the Exchange to allow the participant to connect to the quotation input program: the same hereinafter) via the method the applicant specified in the application.

(3) The participant who has obtained the admission approval shall retain more than one (1) participant's ID for trading.

§6-2. New Petroleum Business of Participant

[July 13, 2012]

(1) In case where the participant admitted pursuant to [§6(1)] has newly registered any of petroleum business noted in [§3(1)/1 through (1)3], such participant may engage in the e-trading of concerned petroleum business by submitting a copy of registration certificate of concerned petroleum business to the Exchange. (Amended on November 15, 2012)

(2) When the registration certificate of new petroleum business has been received pursuant to Para.(1), the Exchange may request the submission of materials required or carry out an onsite investigation for the verification of the fact of being engaged in concerned petroleum business and the management of reliable e-trading operation.

[July 13, 2012]

§7. Classification of Participant's ID and Business

(1) With regard to the participant's ID, the Exchange shall categorize the participant's ID into the representative ID and branch office ID and issue the IDs accordingly.

(2) When the admission approval is finalized, the Exchange shall issue the representative ID and upon receiving the request for branch office ID noted in Annex 2, the branch office ID shall be issued.

(3) In case of representative ID, the Exchange shall issue one (1) ID (including the case noted in [§6-2(1)]) on the basis of the location of main office recorded in the application and in case of branch office ID, several IDs may be issued according to the participant's request. (Amended on November 15, 2012)

(4) In case of requesting the branch office ID pursuant to Para.(2), the participant shall designate one location of petroleum storage facility that he/she owns or has leased per branch ID.

(5) In case where the participant that is a petro station or petroleum distributor requests the branch office ID pursuant to Para. (2), the concerned participant shall request one (1) ID per petroleum storage facility. (Amended on November 15, 2012)

(6) The participant may handle the tasks noted in each of following Items using the participant ID. However, the tasks noted in Items 3 & 4 shall not be handled using the branch ID.

1. To input, correct and cancel the quotation details (limited to quotation details submitted using the concerned participant's ID);
2. To verify the quotation details, trading details and settlement details;
3. To deposit and receive the return of good faith deposit (including the good faith deposit for the quotation submitted using branch office ID of concerned participant);
4. To deposit and receive the settlement amount (including the settlement amount for trade resulted from matching of quotation submitted using the branch office ID of concerned participant)
5. To handle the tasks related to shipment and verification of shipment status; and
6. To check the price and details of notifications.

(7) In case of receiving the request for closing of branch office ID noted in Annex 3 from a participant, the Exchange shall close the concerned participant ID on the next trading day.

Section 2. Withdrawal of Participant

§8. Voluntary Withdrawal

(1) In case of intending to withdraw the participantship, the participant shall prepare and submit the completed withdrawal request noted in Annex 4 to the Exchange.

(2) Upon receiving the withdrawal request pursuant to Para.(1), the Exchange shall determine and notify the withdrawal date after the participant has fulfilled all his/her financial liability, including the settlement of trade conducted by the concerned participant. In this case, the Exchange shall notify the concerned participant via the method specified by the participant.

§9. Obligatory Withdrawal of Participant

In case where because of the occurrence of cause noted in any of the following Items, the report pursuant to [§14] has been received from the participant or the participant has been notified of the withdrawal date, it shall deem that the concerned participant has withdrawn its participantship: (Amended on July 13, 2012; November 15, 2012; May 16, 2013)

1. Case where the registrations of all petroleum businesses pursuant to the Petroleum Business Act have been cancelled or all business locations have been closed down;
2. Case where the all concerned petroleum businesses have been succeeded by another business operator as a result of transfer or merger of businesses or death of owner of concerned business; (Amended on July 13, 2012)
3. Case where the suspension or close of all petroleum businesses pursuant to the Petroleum Business Act has been reported; (Amended on July 13, 2012)

4. Case where the changes in the registration details or reported details (limited to the case of changing the name of petroleum business operator or trade name) of all petroleum businesses pursuant to the Petroleum Business Act have been re-registered; (Amended on July 13, 2012; November 15, 2012)
5. Case of becoming insolvent or commencing the rehabilitation procedure, case where the bankruptcy has been applied or case where the cause for dissolving the company has occurred; and
6. Case where the Exchange has notified the withdrawal date after making the decision on withdrawal of participation pursuant to this Regulation. In this case, the Exchange shall notify the participant using the method that the participant has specified.

§10. Halting of Trade, Closure of Participant's ID, etc.

(1) In case of receiving the request for withdrawal pursuant to [§8(1)] or compulsory withdrawal of participant pursuant to [§9], the Exchange may suspend the concerned participant from trading from the next trading day.

(2) In case where the participant pursuant to Para. (1) has failed to fulfill its liability resulted from trading, the Exchange shall first appropriate the good faith deposit that the concerned participant has deposited with the Exchange and other cash that are due to the concerned participant for the reimbursement of liability, and then the residual amount shall be returned to the concerned participant.

(3) In case where the withdrawal of participant pursuant to [§8 or §9] has been confirmed, the Exchange shall close up the ID of concerned participant from the date noted in each of the following Items:

1. In case of receiving the notification about the fact pursuant to [§9(1)1 through 5] from the participant, the next trading date; and
2. In case of notifying the withdrawal date pursuant to [§8(2) and §9(1)6], the concerned withdrawal date.

(4) Notwithstanding Paras. (2) & (3), in case where the concerned participant has failed to settle its liability resulted from trading until the date noted in each Item of Para. (3), the Exchange may permit the concerned participant to conduct the trade within the limit related to the settlement of liability, and in this case, the use of ID of concerned participant may be allowed.

Section 3. Rights and Obligations of Participant

§11. Trading of Petroleum Product

(1) The participant may trade petroleum products by connecting to the trading system using the quotation input program installed in the participant's terminal device.

(2) Notwithstanding Para. (1), the participant that is a petro station may request the Exchange to handle the trade on its behalf via telephone or facsimile. In this case, before submitting to the Exchange the first request for quotation input, the participant shall enter into an agreement for quotation input on behalf of participant with the Exchange, which stipulates such matters as the scope and method of quotation input and other necessary matters. [July 13, 2012]

(3) When receiving the request for inputting the quotation details pursuant to Para.(2), the Exchange shall record the details of request and receipt time, and input the requested details into the quotation input program without delay. In this case, the Exchange shall keep the record of concerned matter. [July 13, 2012]

§12. Compliance with Laws and Regulations

The participant shall comply with the relevant laws, Use Agreement and this Regulation as well as the disciplines and measures imposed according thereto.

§13. Principle of Fairness and Good Faith

In relation to trading, the participant shall not engage in any activity that disturbs the public order or is contrary to the principle of good faith.

§13-2. Distribution of Tax Benefits, etc. to End-Consumers

(1) The participants who trade the petroleum products eligible for the quota tariff pursuant to [§71] of the Customs Act or refunds of dues, etc. pursuant to [§19] of the Petroleum Business Act (hereinafter referred to as the “tax benefits, etc.”) shall make an effort to sell the petroleum products at the price where the most of concerned tax benefits are distributed to the end consumers.

(2) The petroleum importer and exporter or authorized dealer that sells the petroleum products to the petro station, etc. through the methods without using the quotation input program shall make an effort to sell the petroleum products to the counter party of concerned trade at the price where the most of concerned tax benefits are distributed to the end consumers.

[November 15, 2012]

§14. Report to the Exchange

(1) In case of coming under the situations noted in any of the following Items, the participant shall report the details of such situation to the Exchange without delay:

1. Case where pursuant to the Petroleum Business Act, the disciplinary measures have been imposed to terminate the registration of petroleum business, close the business location or suspend the whole or a part of business operation;
2. Case where due to such events as the business transfer, merger or death of business owner, the concerned petroleum company was succeeded by another company;

3. Case where the change in registration details of petroleum business is re-registered pursuant to the Petroleum Business Act or the change in reported details is re-reported; (Amended on November 15, 2012)

4. Case where pursuant to the Petroleum Business Act, the temporary closure or closure of petroleum business is reported;

5. Case of becoming insolvent, commencing the rehabilitation procedures, having filed a bankruptcy application or occurrence of the cause of dissolution;

6. Case where, of the details stated in the application for participant admission pursuant to [§4], the business location (including the location of petroleum storage facilities), contact place, bank account number or name of representative (limited to the case of corporation) has been changed;

7. In case of applying the shipping fee rate per petroleum refinery operator pursuant to [§46(5)], when the participant that is the petroleum refinery operator changes the shipping fee rate;

8. Case where the notification method and place and other matters reported to the Exchange have been changed;

9. In case of petro station, the case where an agreement has been entered with a refinery operator or its agent to sell the petroleum products of other refineries; and [November 15, 2012]

10. In addition, when an incident or fact that has a significant impact on the business operation of concerned participant has occurred.

(2) In case where the tax benefits, etc. pursuant to [§13-2(1)] is applicable or the notification pursuant to [§48(7)] is sent following the completion of delivery of petroleum products after the negotiated trade noted in [§39], the purchaser shall input such data as the date and time of shipping, delivery quantity and plate number of transportation vehicle for each delivery case using the quotation input program or other notification method that the Exchange specified. However, in case where the participants that are the petroleum importer and exporter or authorized dealer have

sold the petroleum product pursuant to the main clause to the petro stations, etc. through the method without using the quotation input program, when the delivery of concerned petroleum product is completed, such participant shall notify such data as the name, business number, business conditions and address of counter party of concerned trade, delivery quantity, time and date of shipping and number of transportation vehicle to the Exchange for each delivery case. [November 15, 2012]

(3) The seller shall submit the copy of certificate of shipment pursuant to [§48(5)] for each case where the delivery of petroleum product is completed according to the main clause of Para. (2) by Friday after the week to which the date of delivery completion belongs (the trading day immediately before, if the concerned Friday is a holiday). However, if the shipment log of petroleum storage facility where the name of counter party of trade, time and date of shipping, number of transportation vehicle and delivery quantity is recorded is available, instead of a copy of shipment certificate, the copy of shipment log provided by the petroleum storage facility may be submitted. [November 15, 2012]

(4) If it deems necessary for the administration of trading, the Exchange may request the participant to submit the reports or materials about the matters concerning the trading.

§15. Measures against Participants

(1) In case where the participant corresponds to a case noted in any of the following Items, the Exchange shall take an action pursuant to Para. (2): (Amended on May 2, 2012; May 16, 2013)

1. Case where the approval for participant admission pursuant to [§4] has been obtained by a false or other illegal means;
2. Case where the participant has stated a false or misleading details in the application for participant admission;

3. Case of defying the measures imposed by an administrative authority pursuant to the relevant laws and decrees, Use Agreement, this Regulation and the measures imposed pursuant to this Regulation;

4. Case where the participant fails to satisfy the admission requirements after having been admitted;

5. Case where because of coming under each of following Items, it was concluded that the efforts pursuant to [§13-2] have been neglected: [November 15, 2012]

a. As a petro station that has sold the petroleum products pursuant to [§13-2(1)] to the consumers, when its size of revenue and portion of e-trading correspond to Item 4 or 5 of [Annex 1]. However, when it deems necessary, the Exchange may change the criteria of Item 1 of [Annex 1] and in this case, the Exchange shall post the details of the change on its website and the quotation input program.

b. Case where the petroleum products pursuant to [§13-2(1)] have been sold to the petro stations (including the petro station which is not the participant of e-trading, while corresponding to Item 4 or 5 of [Annex 1]) of which the Exchange has made public for the reason of corresponding to Subitem a.

[November 15, 2012]

6. Person that has artificially manipulated the temperature and quantity of petroleum product or has instructed such manipulation; [November 15, 2012]

7. In addition, in relation to trading, case of causing a damage to other participants or encroaching on the legitimate profits of other participants by committing such conducts as undermining the public order, acting contrary to the principle of good faith, or violating the relevant taxation laws.

(2) In case where the conduct of participant corresponds to any Item of Para. (1), the Exchange may take action noted in any of the following Items against the concerned participant:

1. Expulsion of participant;
2. Suspension of all or a part of participant's rights for a period up to one (1) month;
3. Suspension of all or a part of trading rights for a period up to one (1) month;
4. Imposition of penalty (higher than KRW 100,000 and less than KRW 1 billion) for the breach of agreement;
5. Notice of warning;
6. Notice of caution; and
7. Request for correction or submission of commitment letter.

(3) In case where the participant imposed of a penalty for breach of agreement noted in [§2(4)] fails to pay the penalty by the payment deadline, the Exchange shall add the amount determined by multiplying the penalty by 15/100,000 and the number of days to the concerned penalty amount.

(4) In case of intending to take a measure pursuant to Para. (2), the Exchange shall grant the participant an opportunity to present its opinion.

(5) When the decision has been made to take or terminate the measure pursuant to Para. (2), the Exchange shall notify the concerned participant using the method specified by the participant without delay.

(6) In case where the participant has an objection to the measure taken pursuant to Para.(2), such participant may file an official objection within thirty (30) days of receiving the notification about the measure.

(7) When receiving the official objection pursuant Para. (6), provided that there is no unavoidable reason, the Exchange shall process the objection within thirty (30) days of receiving it. However, if it is not possible to process the objection within the period of thirty (30) days because of unavoidable reason, the period may be extended

for a period up to thirty (30) days, and in this case, the reason for extension and expected processing date shall be notified in writing.

(7) It shall be prohibited to file a further objection about the case handled according to the appeal process noted in Para. (6).

CHAPTER III. Participation in Trading, etc.

§16. Installation of Quotation Input Program, etc.

(1) The participant shall download the quotation input program from the Internet homepage of Petroleum E-Trading of the Exchange (<http://petro.krx.co.kr>, hereinafter referred to as the “homepage”) and install the program in its terminal device.

(2) In case of connecting to the quotation input program using the temporary password issued by the Exchange, the participant shall re-register the password that it had created (made of up to ten (10) alpha-numeric character string) in its terminal device before inputting the quotation details, etc.

(3) Before inputting the quotation details and others, the participant shall register the certificate of authentication pursuant to [§17] using the quotation input program.

§17. Registration Method of Certificate of Authentication

The participant shall obtain the certificate of authentication (limited to the general certificate of individual or corporation that is used for all e-trading: the same hereinafter) pursuant to [§15] of the Digital Signature Act issued (or re-issued) by the public certification institute pursuant to [§4] of the Digital Signature Act and register the certificate with the Exchange using the participant’s terminal device.

§18. Connection to Trading System, etc.

- (1) When connecting to the trading system using the participant's terminal device, the participant shall input the participant ID, password, and password for certificate of authentication.
- (2) In case where the connection is restricted due to an error in inputting password, the participant shall notify such fact to the Exchange and obtain a temporary password re-issued by the Exchange.
- (3) In case where the connection pursuant to certificate of authentication is restricted due to an error in inputting the certificate password, the participant shall obtain the certificate of authentication re-issued pursuant to [§17] and re-register it with the Exchange.

§19. System Connecting Hours

- (1) Using the participant's terminal device, the participant may connect to the trading system during the hours noted in each of the following Items. However, this provision shall not be applied to the case where connection to trading system is not possible due to such reasons as system failure:

1. Services related to inputting quotation details and trade execution: Trading hours pursuant to [§20(2)].
2. Other services: From 07:00 O'clock to 22:00 O'clock on each trading day.

- (2) When it deems necessary for the management of trading, the Exchange may temporarily change the connecting hours noted in Para. (1). In this case, the Exchange shall post such fact on its homepage and quotation input program.

CHAPTER IV. Trading

Section 1. Trading Operation

§20. Types and Hours of Trading

(1) Trading shall be separated for each petroleum storage facility.

(2) The trading hours shall be from 10:00 O'clock to 17:00 O'clock. However, in case where due to the system failure, it is not possible to receive or match quotations for a duration longer than ten (10) minutes, it shall deem that the trading hours has ended for the petroleum storage facility, type of petroleum products or all or a part of trade names at the time of concerned system failure has occurred. (Amended on July 13, 2012)

(3) When it deems necessary to change the trading hours, the Exchange may temporarily change the trading hours noted in Para.(1). In this case, the Exchange shall post such fact on its homepage and quotation input program.

§21. Market Holiday

(1) The Exchange shall identify the dates noted in each of the following Items as the market holiday and no trading shall be carried out on those days:

1. Public holidays pursuant to the Rules on Holidays of Public Agencies;
2. Labor day pursuant to the Designation of Worker's Day Act;
3. Saturday; and
4. In addition, the day the Exchange deems necessary for the management of trading.

(2) Notwithstanding Para. (1), when it deems necessary for the management of trading, the Exchange may conduct trading on the day noted in each Item of Para. (1).

§22. Intermediation of Trading

The Exchange shall perform the intermediation necessary for the execution of agreement for trading of petroleum product between the participants

§23. Trade Execution in Accordance with Trading System

The agreement for trading of petroleum products between the participants shall be executed using the trading system.

§24. Products Eligible for Trading

(1) Products eligible for trading shall be differentiated by the trade name and type of petroleum products per geographical region or petroleum storage facility. (Amended on July 13, 2012)

(2) The geographical region noted in Para.(1) shall refer to the Capital region, Kangwon, Chungcheong, Youngnam, Honam and Cheju on the basis of the location of petroleum storage facility, and the petroleum storage facility noted in Para.(1) shall refer to, as a dangerous substance facilities licensed pursuant to [§6] of the Safety Control of Dangerous Substances Act for the storage of petroleum products, among the facilities that undergo the periodic inspection by the quality inspection institutions pursuant to [§25] of the Petroleum Business Act and meet the quality standards pursuant to [§24] of the Petroleum Business Act, those petroleum storage facilities specified by the Exchange. (Amended on July 13, 2012)

(3) The type of petroleum products noted in Para.(1) shall refer to the regular grade (Number 1) gasoline and diesel used for automobile, according to Annex of the notification about quality standards, quality inspection method and inspection fees of petroleum products posted by the Ministry of Knowledge Economy.

(4) The trade name noted in Para. (1) shall refer to SK Energy, GS Caltex, Hyundai Oil Bank, S-Oil, the economy brand names, and private brand names (referring to the

trade names other than SK Energy, GS Caltex, Hyundai Oil Bank, S-Oil, and the economy brand names) and include the petroleum products that the petroleum refinery operator supplies without trade name for the purpose of selling the products of other refineries. (Amended on November 15, 2012)

(5) The Exchange shall post the information noted in each of the following Items on its homepage and quotation input program and shall do the same in case where there is a change in the posted information:

1. The division of geographical regions and the location of petroleum storage facilities in each geographical region; (Amended on July 13, 2012)
2. The trade names eligible for trading;
3. The product types and trade names of petroleum storage facility that are being traded or the petroleum product types and trade names that are being traded in the geographical region; and (Amended on July 13, 2012)
4. The products subject to temperature correction (referring to the products subject to temperature correction pursuant to [§28(2)] in relation to the calculation of product quantity: the same hereinafter) [November 15, 2012]

Section 2. Quotations

§25. Submission of Quotation

(1) To conduct trade, the participant shall submit a quotation corresponding to any of the following Items. However, in case of participant that operates additional petroleum business pursuant to [§6-2], such participant may submit ask or bid quotation of concerned petroleum business. (Amended on May 2, 2012, July 13, 2012)

1. In case of petroleum refinery operator (including the self-operated authorized dealer), an ask quotation for the trade name of concerned petroleum refinery operator or private brand name;

2. In case of import or export business operator, an ask quotation (in case of negotiated trade noted in [§§39], ask or bid quotation) for private brand name (excluding the private brand names intended for selling the products of other refineries); (Amended on July 13, 2012; November 15, 2012)

3. In case of authorized dealer, a bid quotation for all trade names, except for the economy brand names and private brand names intended for selling the products of other refineries;

4. In case of petro station and petroleum distributor, a bid quotation for all trade names, except for the economy brand names. However, for the petroleum distributor, it shall be limited to the bid quotation for gasoline for automobiles noted in [§24(3)]; and (Amended on November 15, 2012)

5. With regard to the economy brand names, notwithstanding Items 3 & 4, the participants that are the supplier to the economy brand names (referring to the Korea National Oil Corporation, Korea Expressway Corporation and National Agricultural Corporative Federation: the same hereinafter), an ask quotation for the economy brand names, and in case of petro stations of the economy brand names, a bid quotation for the economy brand names.

(2) Notwithstanding Para.(1)3, the authorized dealer pursuant to [§11(3)] of the Use Agreement shall be prohibited to submit an ask quotation for trade names of petroleum refinery operator with which it has not entered into an agreement for trademark.

(3) Notwithstanding Para.(1)4, the petro station pursuant to [§11(4)] of the Use Agreement shall be required to submit a bid quotation for trade names of petroleum refinery operator with which it had entered the agreement for exclusive supply. However, this provision shall not be applied to the case that is stipulated differently in the concerned agreement for exclusive supply.

(4) Notwithstanding Para.(1)4 and Para.(3), the Exchange may restrict the submission of quotation for the product stored in a distant geographical region (referring to the non-neighboring region) on the basis of address of participant ID by the participant that is a petro station. [July 13, 2012]

(5) For the participant that has entered into an agreement for exclusive supply with a specific petroleum refinery operator or its agent pursuant to Paras. (2) & (3), the submission of quotation for petroleum products of other petroleum refinery operators may be restricted. [July 13, 2012] (Amended on November 15, 2012)

§26. Quotation Receiving Hours

The quotation shall be submitted during the trading hours pursuant to [§20(2)].

§27. Quotation Types

As a quotation specifying the type and trade name of petroleum product, geographical region and petroleum storage facility, quantity and price, it shall be the quotation intending to match at the price specified or price better than the price specified (hereinafter referred to as the “limit quotation”). (Amended on July 13, 2012)

§28. Quantity Unit and Price Unit of Quotation

(1) Each of quotation quantity unit and trading quantity unit shall be 20,000 liters (referring to the volume not adjusted by temperature correction method: the same hereinafter), and the quotation price unit (referring to the minimum unit that can be used for quotation price: the same hereinafter) shall be KRW 0.5.

(2) Notwithstanding Para. (1), in case of the products subject to temperature correction, as the quantity adjusted using the temperature correction method based on 15 degree Celsius, which is commonly accepted by the petroleum business industry in Korea, it shall be the quantity (to round up at the 3rd decimal place) determined by multiplying

the volume conversion coefficient of petroleum product by 20,000 liter. (Amended on May 2, 2012; November 15, 2012)

§29. Quotation Quantity Limit

(1) The quantity that a quotation is allowed to specify shall be a minimum of 20,000 litters and a maximum of 500,000 litters. However, when it deems necessary for management of trading, the Exchange may temporarily change the maximum quotation quantity.

(2) In case of changing the maximum quotation quantity pursuant to Para. (1), the Exchange shall post such fact on its homepage and quotation input program.

§30. Deposition of Good Faith Deposit

(1) The participant shall be required to make a cash deposit of good faith deposit of KRW 1.5 million (in case of negotiated trade pursuant to [§39], KRW 150,000 per 2,000 litters; the same hereinafter) per quotation quantity unit each time when a quotation is submitted or in advance in the good faith deposit account under the name of Exchange [referring to a money market deposit account that the Exchange has opened with the bank specified by the Exchange (hereinafter referred to as the “settlement bank”) for the deposit and return of good faith deposit]. However, the participant who has not been subject to any of the measures specified in [§15(2)1 through 4] and comes under the criteria that the Exchange sets through the deliberation at the Petroleum Product Committee pursuant to [§59] shall not deposit the good faith deposit until the time that the Exchange specifies. (Amended on May 2, 2012; July 13, 2012; November 15, 2012; May 16, 2013)

(2) Notwithstanding Para.(1), in case where the Exchange deems necessary, the cash payment of good faith deposit may be substituted by the guaranteed insurance policy issued by the insurance company pursuant to the Insurance Business Act or the payment guarantee certificate issued by the bank pursuant to Banking Act.

(3) The good faith deposit deposited by the seller in cash shall be returned to the concerned seller when the settlement payment for trade of concerned quotation is delivered.

(4) The cash that the seller deposited as good faith deposit shall be construed as the settlement payment delivered to the Exchange when the seller failed to deliver the settlement payment for trade of concerned quotation pursuant to [§48(1)].

(5) With regard to the cash deposited in excess of the good faith deposit pursuant to Para. (3) or Para.(4), in case where the participant makes a request to the Exchange by inputting such fact into the trading system using the participant's terminal device or by other method, the amount may be converted as settlement payment or returned to the concerned participant.

(6) The Exchange shall return the cash deposited as the good faith deposit for the unmatched quotations, which is not used according to Paras. (3) through (5), to the concerned participant after the closing of trade. However, if there is a request from a participant, the amount may not be returned, and the interest accumulated subsequently shall be paid to the participants that requested not to return according to the proportional distribution method determined by the Exchange. (Amended on July 13, 2012)

(7) The settlement bank pursuant to Para.(1) shall be the financial institution engaged in banking business whose capital ratio (referring to the ratio of equity capital to the risk weighted total asset pursuant to the Regulation on supervision of Banking Business of the Financial Services Commission) is at least 8/100.

(8) In case of designating or changing the settlement bank noted in Para. (1), the Exchange shall post such fact on its homepage and quotation input program.

§31. Quotation Method

(1) When intending to place a quotation, the participant shall input the details noted in each of the following Items into the trading system using the participant's terminal device. However, in case where the Exchange submits the quotation

details acting on behalf of participant pursuant to [§11(2)], the Exchange shall input the details noted in each of the following Items, including the concerned participant's ID, using the terminal device of Exchange: (amended on July 13, 2012)

1. Trade name and type of petroleum product, petroleum storage facility and geographical region; (Amended on July 13, 2012)
2. Price;
3. Quantity;
4. Classification of bid or ask;
5. In case of bid quotation, identification of any of the following Subitems:
 - a. Delivery at shipping point (referring to the completion of delivery of concerned petroleum product when the seller has loaded the sold petroleum in the transport vehicle of purchaser at the storage facility of concerned petroleum product: the same hereinafter); and
 - b. Delivery to destination (referring to the completion of delivery of concerned petroleum product when the seller has finished the delivery of concerned petroleum product to the petroleum storage facility of the purchaser who is registered with the Exchange after shipping the concerned product from its petroleum storage facility: the same hereinafter);
6. In case of bid quotation, the desired shipping petroleum storage facility (in case of product based on the geographical region, it shall be limited to the petroleum storage facilities in the region, and in case of product based on the petroleum storage facility, it shall be the concerned petroleum storage facility); and [July 13, 2012]
7. The participant ID (limited to the case where acting on behalf of participant, the Exchange inputs the quotation details). [July 13, 2012]

(2) When inputting quotation details pursuant to Para. (1), the purchaser may input the desired delivery date (referring to the hour and minute of the date when the delivery of entire trading quantity of petroleum product is to be concluded: the same hereinafter) and the data on transport vehicle (limited to the case of delivery at shipping point) noted in [§43(2)]. In this case, the purchaser shall specify the time either on the quotation input day or on the next trading day (including the holiday pursuant to [§21]; the same hereinafter) as the time and date of shipment.

(3) The price noted in Para.(1)2 shall include all types of taxes [referring to the fuel tax (referring to the traffic tax, energy tax and environment tax pursuant to [§2] of the Traffic, Energy and Environment Tax Act, the education tax pursuant to [§5] of the Education Tax Act and the automobile tax pursuant to [§136] of the Local Tax Act) and the value added tax thereon] and shall exclude the shipping cost noted in [§46(1)].

(4) In case where the participant inputs the quotation information pursuant to Para.(1), the Exchange shall make sure that the participant ID and IP address of participant's terminal device are automatically inputted into the trading system.

§32. Logging of Quotation and Notification Thereafter

(1) The Exchange shall issue the quotation receipt number right after the quotation reaches the front-end system in the order of quotation receipt and the quotation data is logged in the trading system

(2) The Exchange shall notify the participant (including the participant for which the Exchange acts for inputting quotations pursuant to [§11(2)].) that has inputted the concerned quotation without delay by way of transmitting the logged quotation data to the participant's terminal device using the trading system. (Amended on July 13, 2012)

(3) The Exchange shall duplicate the logged quotation data on the magnetic tape or disc or other auxiliary memory device and keep the received or logged quotation data for ten (10) years from the receipt or logging date.

§33. Validity of Quotation

The quotation shall be valid from the receipt time until the closing of trade on the day.

§34. Cancellation and Correction of Quotation

(1) The participant may cancel the entire or a part of quotation quantity or correct the quotation price. However, it shall not be allowed to cancel or correct the ask quotation during the last five (5) minutes before the closing of single price auction period pursuant to [§37(2)].

(2) Only the quantity of quotation that was not yet matched shall be cancelled or corrected pursuant to Para. (1).

(3) Notwithstanding Para. (1p), in case where the hours of single price auction noted in [§37(2)] is changed, the Exchange may change the period when the cancellation or correction of ask quotation is not allowed. In this case, the Exchange shall post such fact on its homepage and quotation input program.

(4) Notwithstanding Para.(1), the participant, which has requested the Exchange to act on its behalf and input the quotation details, etc., may correct or cancel the concerned quotation details by submitting a request to the Exchange. [July 13, 2012]

§35. Quotation Price Limit

(1) For each product of each geographical region or petroleum storage facility, no quotation shall be submitted at the price higher than the highest allowed price (hereinafter referred to as the “upper limit price”) or at the price lower than the lowest allowed price (hereinafter referred to as the “lower limit price”) on the basis of using the price noted in each of the following Items as the base price (in case of Item 1 through Item 3, to exclude the trade and trading price resulted from the negotiated transaction noted in [§39]). (Amended on July 13, 2012)

1. The closing price of previous trading day;
 2. In case where the price noted in Item 1 is not available, the volume-weighted average price (to round up at the 3rd decimal point) of same type of petroleum product of same trade name that were traded on the previous trading day;
 3. In case where the price noted in Items 1 and 2 are not available, the price pursuant to [§44(3)1] on the previous trading day; and
 4. In case where the price noted in Items 1 through Item 3 are not available, the previous day's base price of concerned product.
- (2) In case where the base price pursuant to Para.(1) is not consistent with the quotation price unit, the base price shall be the price consistent with the quotation price unit that is closest to the base price pursuant to Para.(1). However, in case where there are two (2) such prices, it shall be the lower price between them.
- (3) The upper limit price pursuant to Para. (1) shall refer to the price obtained by adding the price limit range (referring to the value determined by multiplying 5/100 by the base price) and the base price. However, in case where the price determined is not consistent with the quotation price unit, the upper limit price shall be the highest price among the prices lower than the price determined that are consistent with the quotation price unit.
- (4) The lower limit price pursuant to Para. (1) shall refer to the price obtained by subtracting the price limit range from the base price. However, in case where the price determined is not consistent with the quotation price unit, the lower limit price shall be the lowest price among the prices higher than the price determined that are consistent with the quotation price unit.
- (5) Notwithstanding Paras.(1) through (4), in case where there is an abnormality in trading situation or it deems necessary for the management of trading, the Exchange may change the base price, upper price limit or lower price limit. In this case, the Exchange shall post such fact on its homepage and quotation input program.

Section 3. Execution of Trade

§36. Principle of Auction

- (1) The trade shall be conducted in accordance with the auction method.
- (2) Auction shall be divided into the single price auction and multiple price auction.
- (3) The priority of quotations in auction shall be determined as specified in each of the following Items:
 1. An ask quotation with a lower price shall have priority over an ask quotation with a higher price and a bid quotation with a higher price shall have priority over a bid quotation with a lower price; and
 2. Among the quotation with same price, based on the time of quotation receipt, the quotation received earlier shall have priority over the one received later.

§37. Single Price Auction

- (1) For each product, the opening price and closing price of trading day may be determined using the single price auction method.
- (2) The scope of quotations participating in the single price auction shall be the quotations received during the period (hereinafter referred to the “quotation hours for single price auction”) noted in each of the following Items and of the quotations received earlier and those quotations that are not matched:
 1. In case of determining the opening price of the day, for thirty (30) minutes from 10:00 O’clock to 10:30 O’clock.
 2. In case of determining the closing price of the day, for ten (10) minutes from 16:50 to 17:00 O’clock. (Amended on July 13, 2012)

(3) When determining the price pursuant to Para. (1), the execution price shall be the price (hereinafter referred to as the “matching price”) at which the total quantities of ask quotations and bid quotations noted in each of the following Items match, where the matching quantity is the largest, and the trade shall be executed in accordance with the quotation priority noted in [§36(3)].

1. Total quantity of ask quotations at prices lower than the matching price and total quantity of bid quotations at prices higher than the matching price; and

2. For the matching price, the quantity specified in each of following Subitems:

- a. Of the ask quotations or bid quotations, total quantity of any of one side; and

- b. For the other side, “0” (zero) or the quantity larger than the trading quantity unit.

(4) In case where the matching price noted in Para.(3) is more than two (2), if there is a price same as the previous execution price, that price shall be the matching price; and if there is no price same as the previous execution price, the price closest to the previous execution price shall be the matching price.

(5) If it deems necessary, the Exchange may change the quotation receiving hours for single price auction noted in Para.(2). In this case, the Exchange shall post such fact on its homepage and quotation input program.

§38. Multiple Price Auction

(1) During the trading hours other than the hours noted in each Item of [§37(2)], the trade shall be conducted using the multiple price auction method.

(2) When determining the execution price pursuant to Para.(1), if the highest bid price is higher than the lowest ask price, by assuming that the price of quotation received

earlier is the execution price, the trade shall be executed in accordance with the quotation priority noted in [§36(3)].

§39. Negotiated Trade

(1) Notwithstanding [§36 through §38], in case where the participants submit the details of trade (hereinafter referred to as the “negotiated trade”) for which the trading parties have negotiated the type and trade name of petroleum product, geographical region and petroleum storage facility, price and quantity negotiated, to the Exchange, the Exchange may execute the trade in accordance with the details negotiated. In this case, the good faith deposit pursuant to [§30(1*m*)] shall not be deposited until the time separately determined by the Exchange. (Amended on July 13, 2012)

(2) The negotiated trade shall be accomplished by the buying party verifying the details noted in each of the following Items using its terminal device, which the selling party has inputted into the trading system using the participant’s terminal device, and sending a request to the Exchange, and then the Exchange logging the concerned details in the trading system. In this case, the buying party and selling party shall not be the same person. (Amended on May 2, 2012)

1. Participant’s ID of buying party;
2. Type and trade name of petroleum product, geographical region and petroleum storage facility; (Amended on July 13, 2012)
3. Price;
4. Quantity (restricted to the quantity between 100,000 liters and 2,000,000 liters, which is in a unit of integral multiples of 2,000 liters. However, in case where a petro station of the economy brand name purchases a petroleum product from the economy brand name, it shall be the quantity between 40,000 liters and 2,000,000 liters); (Amended on July 13, 2012)
5. Indication of delivery at shipping point or delivery to destination;

6. Time and date of shipment and desired shipping petroleum storage facility;
(Amended on July 13, 2012)

7. Shipping cost (limited to the case of delivery to destination) pursuant to
[§46(1)]; and

8. In addition, the matter that the Exchange deems necessary.

(3) The price noted in Para.(2) shall be, as a price between the upper price limit and the lower price limit pursuant to [§35], the price (hereinafter referred to as the “negotiated price”) that is lower than the value obtained by adding KRW 5 to the base price. However, if it deems necessary for the management of trading, the Exchange may change the negotiated price. In this case, the Exchange shall post such price on its homepage and quotation input program.

(4) The negotiated trade shall be requested during the hours from 10:00 O’clock to 16:50 O’clock. (Amended on July 13, 2012)

(5) After submitting the negotiated trade to the Exchange pursuant to Para. (2) and being registered on the trading system by the Exchange, the participant shall not cancel or correct the details of submitted trade. However, the Exchange may cancel it if the details of trade submitted pursuant to Para. (2) infringe this Regulation.
(Amended on May 2, 2012; May 16, 2013)

(6) When it deems necessary, the Exchange may refuse to accept the request pursuant to Para. (1) submitted by the participants that have not conducted the auction noted in [§36(2)] in higher than the specified quantity. In this case, before refusing to accept the concerned request, the Exchange shall determine the specified quantity and post it on the quotation input program or its internet homepage. [May 2, 2012] (Amended on November 15, 2012)

§40. Measures Taken in Case of Computer System Failure

(1) In case where the quotation input program, trading system or any other communication system fails or there is a concern that such failure may occur, the

Exchange may take necessary measures such as the suspension and termination of quotation receipt for all or some of petroleum products or closing of trading for the day.

(2) In case of taking a measure pursuant to Para.(1), the Exchange shall inform the participant of the details of measure taken by inputting the details to the participant's terminal device using the trading system or posting them on its homepage without delay.

Section 4. Notification of Trading Details, etc.

§41. Notification of Trading Details

(1) When a trade is executed, the Exchange shall notify the concerned participants the trading details noted in each of the following Items:

1. Participant's ID;
2. Type and trade name of petroleum product, geographical region and petroleum storage facility; (Amended on July 13, 2012)
3. Price;
4. Quantity;
5. Classification of ask and bid;
6. Time and date of trade execution;
7. Identification of the delivery at shipping point or delivery to destination;
8. Time and date of shipment (limited to the case where such information is inputted at the time of quotation input);
9. Name of participant that is the counterparty of the trade, responsible employee and contact address; and

10. Desired shipping petroleum storage facility; and [July 13, 2012]

11. In addition, the matter that the Exchange deems necessary.

(2) The notification of trade details pursuant to Para. (1) shall be accomplished by transmitting the details into the participant's terminal device using the trading system.

(3) The Exchange shall duplicate the trading details noted in Para. (1) on the magnetic tape or disc or other auxiliary memory device and keep those for ten (10) years from the trading date.

§42. Verification of Trading Details

(1) The participant shall verify the details of trade that the Exchange has notified without delay.

(2) When the trading details that the Exchange has transmitted have reached to the participant's terminal device, it shall deem that the participant has verified them.

§42-2. Correction of Error Made by Exchange

(1) In case where, while inputting the quotation details on behalf of a participant pursuant to [§11(2)], the trade has been executed contrary to the request of participant, the Exchange may correct the details of concerned trade by making it consistent with the details of request.

(2) If it is judged that the error trade caused by the Exchange cannot be executed in a normal manner, the Exchange may cancel the concerned trade after obtaining the consent of counterparty of trade or change the shipping point or delivery destination.

(3) With regard to the loss or gain incurred as a result of correcting an error trade or cancelling the trade pursuant to Paras. (1) and (2), it shall be handled according to the provisions stated in the agreement for quotation input on behalf of participant.

[July 13, 2012]

§43. Notification of Matters Concerning Transportation

(1) After verifying the trading details pursuant to [§42], the participant shall finalize the relevant matter by inputting or changing it within the period noted in each of the following Items after reaching an agreement with the counterparty of trade. In this case, the purchaser shall inform the Exchange of the agreed details using the participant's terminal device without delay. (Amended on May 2, 2012)

1. Identification of the delivery at shipping point or delivery to destination within one (1) hour after the trade execution (if it is not confirmed within the time specified, it shall deem that the arrangement notified pursuant to [§42(1)] has been confirmed).
2. The time and date of shipment by 22:00 O'clock of trade execution date (if it is not confirmed by the time specified, it shall deem that 22:00 O'clock of trading day has been confirmed).
3. The desired shipping petroleum storage facility before the shipping time (in the case of petroleum products based on geographical region, the change may be made among the petroleum storage facilities in the concerned geographical region).

[July 13, 2012]

(2) For the transportation of petroleum product subsequent to trade, the seller (only in case of the delivery to destination) or the purchaser (only in case of the delivery at shipping point) shall notify the counterparty of trade the license number of transport vehicle and name and contract address of the driver (hereinafter referred to as the "information about transport vehicle").

(3) By inputting the information about the transport vehicle noted in Para. (2) into the trading system using the participant's terminal device, the participant may notify the concerned information to the counterparty of trade.

(4) Notwithstanding Paras. (1) & (3), in case of negotiated trade noted in [§39], the participant shall not be permitted to change the specification of the delivery to destination or delivery at shipping point, and the time and date of shipment pursuant to Para. (1), and the information about transport vehicle noted in Para. (2) shall be notified in accordance with the agreement made between the trading parties. (Amended on May 2, 2012)

§44. Publication of Price Data, etc. for Participant

(1) The Exchange shall make available the price and other data noted in each of the following Items for each type and trade name of petroleum products, geographical regions and petroleum storage facilities through the participant's terminal device. However, in case of negotiated trade, after the closing of trading hour, the opening, highest, lowest and closing prices of each product and total trading value and volume of the trading day shall be made public. (Amended on July 13, 2012; November 15, 2012)

1. Current, opening, high, low and closing prices;
2. Trading volume and trading value;
3. Closing price of previous trading day or the base price;
4. During the quotation receiving hours for single price auction, the expected execution price and trading volume, the best expected quotation price and consecutive three (3) best expected quotation prices per ask and bid and expected quotation quantity at each of those prices. However, during the quotation receiving hours for single price auction for the determination of opening price, they shall be published after ten (10) minutes have passed from the beginning time.
5. During the quotation receiving hours for multiple price auction, the ten (10) best consecutive quotation price, including the best quotation price, per ask and bid, and the quotation quantity at each of those prices and total quotation quantity per ask and bid.

6. In addition, the matter that the Exchange deems necessary for the management of trading.

(2) Notwithstanding Para.(1)4, in case where the quotation receiving hours of single price auction is changed, the Exchange may differently determine the details of data and information to be published. In this case, the Exchange shall post such details on the quotation input program.

(3) The Exchange may make public the data and information noted in each of the following Items. However, in case of Item 1, the prices may be published by separating the price that includes the shipping cost and the price that excludes the shipping cost pursuant to [§46(1)].

1. Trading volume-weighted average price per petroleum product per auction and per negotiated trade (to be rounded up at the 3rd decimal place); (Amended on November 15, 2012)

2. The closing price and total trading volume per petroleum product; and

3. In addition, the trading data that the Exchange deems necessary.

CHAPTER V. Settlement of Trade

§45. Settlement Method

(1) Every time when a trade is executed, the parties of concerned trade shall directly deliver and receive the petroleum product (referring to the quantity of petroleum corresponding to trading volume: hereinafter referred to as the “settlement quantity”) and the settlement amount (as the amount determined by multiplying the settlement quantity by the execution price, in case of the delivery to destination, it refers to the amount including the shipping cost calculated pursuant to [§46(1)]: the same

hereinafter) to the party to whom it is due within the time specified in each of the following Items without delay:

1. In case of settlement amount

Within one (1) hour after the verification of trading details pursuant to [§47(1)]. However, in the event that it is after 18:00 O'clock of trading day, it shall be 18:00 O'clock of concerned day. (Amended on July 13, 2012)

2. In case of petroleum product

Within two (2) hours after the time and date of shipment pursuant to [§43(1)]. However, in the event that it is after 22:00 O'clock of trading day after the trade execution day, it shall be 22:00 O'clock of concerned day.

(2) Notwithstanding Para. (1), the settlement amount shall be delivered and received via the settlement account of the Exchange (the money market deposit account that the Exchange has opened with the settlement bank for the receipt and delivery of settlement amount: the same hereinafter). In this case, the Exchange shall not deliver the amount on behalf of the purchaser or seller or assist them in fulfillment of their obligation, and shall not take any responsibility over the settlement of trade.

(3) Notwithstanding Para. (1), when it deems necessary for the management of trading, the Exchange may change the hours noted in each of Para. (1). In this case, the Exchange shall post such changed details on the quotation input program.

(4) Notwithstanding Para. (2m), if pursuant to [§28(2)], the temperature correction method has been applied to the petroleum product quantity, the trading parties shall directly deliver and receive the difference between the settlement amount pursuant to [§45(1)] and the amount determined using the temperature correction method (referring to the amount determined by multiplying the quantity subject to temperature correction by the settlement price). In this case, the seller shall notify the quantity subject to temperature correction and the amount determined using the temperature correction method by Wednesday of the week after the week to which the day when delivery of concerned petroleum product was completed using the method specified

by the Exchange, and submit the copy of pertinent certificate of shipping. [May 2, 2012; Proviso on November 15, 2012] (Amended on November 15, 2012)

§46. Shipping Cost

(1) The shipping cost that the purchaser pays to the seller for the delivery to destination noted in [§31(1)5b] shall be the amount calculated on the basis of the shipping fee rate establishment by the Exchange on the basis of desired shipping petroleum storage facility noted in [§41(1)10], and if the shipping cost agreed between the trading parties is higher than the amount calculated on the basis of the shipping fee rate, it shall be the amount calculated on the basis of the shipping fee rate established by the Exchange, and if the shipping cost agreed between the trading parties is lower than the amount calculated using the shipping fee rate, it shall be the amount agreed. However, even in the case of changing the desired shipping petroleum storage facility pursuant to [§43(1)3], the shipping cost shall be the amount calculated pursuant to this Article. (Amended on May 2, 2012; July 13, 2012)

(2) The purchaser shall input the shipping cost calculated pursuant to Para. (1) into its terminal device (this provision shall not be applied to the negotiated trade pursuant to [§39]). In this case, after verifying that the shipping cost inputted is consistent with the shipping cost calculated pursuant to Para.(1), the Exchange may endorse or refuse the concerned cost details

(3) In case where the Exchange has rejected the shipping cost pursuant to Para. (2), the participant shall re-input the amount calculated pursuant to Para. (1) as the shipping cost without delay.

(4) Notwithstanding Para.(1), in case where the trading parties have agreed to raise or reduce the shipping cost by taking into account such factors as the frequency of shipping, volume of shipment or shipping demand, the trading parties may directly deliver and receive the concerned amount.

(5) In case where it deems necessary for management of trading, the Exchange may change the shipping fee rate noted in Para. (1) or adjust the shipping fee rate per trade

name of petroleum refinery operator. In this case, the Exchange shall post such details on the quotation input program.

§47. Finalization of Settlement Details

(1) When the indication of the delivery at shipping point or delivery to destination pursuant to [§43(1)1] and the shipping cost pursuant to [§46(2)] have been finalized (only in the case of the delivery to destination), the Exchange shall finalize the settlement quantity and settlement amount (hereinafter referred to as the “settlement details”). In this case, the settlement details shall be notified by transmitting the details to the participant’s terminal device using the trading system. (Amended on May 2, 2012)

(2) Notwithstanding Para. (1), in case of negotiated trade pursuant to [§39], it shall deem that the settlement details has been finalized when the trading details was registered with the Exchange.

§47-2. Change of Trading Parties

(1) When the Exchange deems it necessary for the reasons of trading error, etc., participants may change the concerned trading parties by selecting one of the participants in e-trading (hereinafter referred to as the “changed participant”) under agreement with the trading counterparty.

(2) The participant intending to change the trading parties pursuant to Para. (1) (hereinafter referred to as the “applied-for-change participant”) shall apply for the change of concerned trading parties to the Exchange on the trading day pursuant to [Annex: Form 9].

(3) The expenses, etc. associated with the change of trading parties pursuant to Para. (1) shall be borne by the applied-for-change participant by the way of paying and receiving between the applied-for-change participant and the changed participant.

[May 16, 2013]

§48. Delivery and Receipt of Settlement Amount, etc.

(1) The purchaser shall deposit the settlement amount according to the settlement details notified (in case where the good faith deposit has been deposited in cash pursuant to [§30], it shall be the amount subtracting the good faith deposit from the settlement amount notified) with the Exchange in cash within the deadline specified in [§45(1)1].

(2) After verifying the completion of delivery of settlement quantity, the Exchange shall deliver the settlement amount to the seller on the day after the trading day according to the case noted in each of following Items. However, in case the delivery of product was completed on the holiday pursuant to [§21], the settlement amount shall be delivered on the trading day after the holiday.

1. In case where the delivery of petroleum has been completed before 19:00 O'clock, right after the completion of delivery; and (Amended on July 13, 2012)

2. In case where the delivery of petroleum has been completed after 19:00 O'clock, before the trade opening on the trading day after the day the delivery was completed. (Amended on July 13, 2012)

(3) In case where the settlement amount delivered by the purchaser is insufficient, it shall deem that the settlement amount of concerned trade has been delivered in the order of the confirmation of settlement details.

(4) When the purchaser has delivered the settlement amount, the Exchange shall notify the fact of payment to the seller who is the counterparty of concerned trade.

(5) Upon the receipt of notification on the delivery of settlement amount pursuant to Para.(4), the seller shall deliver the settlement quantity by the deadline pursuant to [§45(1)2] and submit the certificate of shipment (referring to the certificate issued by the petroleum storage facility of concerned product, where such factors as the shipping time and date, number of transportation vehicle, quantity shipped, and temperature and

specific gravity of petroleum product are stated) to the purchaser. In this case, the purchaser shall verify if there is any abnormality with the settlement quantity and quality of petroleum product received. (Amended on November 15, 2012)

(6) To allow the verification when the purchaser or the Exchange requests it, the seller shall request the petroleum storage facility to write down the temperature and specific gravity of concerned petroleum product, which are measured using the method generally accepted by the Korean petroleum business industry, in the certificate of shipment noted in Para.(5) and preserve the record. [November 15, 2012]

(7) When the petroleum product without defect was received pursuant to Para.(5), the purchaser shall notify the Exchange by inputting such fact into the trading system using the participant's terminal device without delay during the service hours pursuant to [§19]. In this case, it shall deem that the delivery of settlement quantity has been completed at the time when the fact was inputted in the trading system. (Amended on November 15, 2012)

(8) The delivery of settlement amount between the Exchange and the participant pursuant Para. (1) shall be accomplished by way of account transfer between the account of participant to and from the account of Exchange.

(9) In case where the participant has made a payment by error or mistake and requests the return of concerned amount, the Exchange shall give back the concerned amount to the concerned participant.

§48-2. Inputting Settlement Details, etc. on Behalf of Participants

(1) In case where, due to communication failures, etc., it is difficult to connect to the quotation input program, the purchaser may request the Exchange to act for it in inputting the participant's terminal device pursuant to [§43(1)], [§46(2)] and [§48(7)] via telephones, etc.

(2) Upon receiving the request for inputting settlement details, etc. on behalf of a participant pursuant to Para. (1), the Exchange may record the details of the concerned

request and input the details of the concerned request into the quotation input program. In this case, the Exchange shall keep the record of the matters.

(3) In case where the settlement details inputted by the Exchange on behalf of a participant are not consistent with the details requested by the participant, the Exchange may make corrections accordingly.

[May 16, 2013]

§49. Responsibility of Delivery of Petroleum Product

The seller shall bear the delivery responsibility pursuant to [§48(5)] until the entire settlement quantity is delivered to the purchaser and the seller shall take necessary measures so that the petroleum product meeting the quality standards pursuant to [§24] of the Petroleum Business Act is delivered.

§50. Measures against the Defective Petroleum Product

(1) If there is defect in quality of concerned petroleum product or there is a suspicion about defect when receiving the petroleum product pursuant [§48(5)], the purchaser shall file an objection with the concerned seller without delay, and in case of the quality defect that cannot be detected at the time of receipt, the objection shall be filed within seven (7) days of product receipt date. In this case, the sample of petroleum product and proving document shall be submitted to the seller who is the counterparty of trade. (Amended on November 15, 2012)

(2) The objection pursuant to Para. (1) shall be resolved between the concerned parties according to the agreement made between the seller and purchaser, including the request for quality test. In this case, the Exchange shall not bear any responsibility about concerned matter.

(3) In case where the purchaser has filed an objection pursuant to Para. (1), the concerned purchaser shall notify the Exchange such fact without delay by using a telephone or other method.

(4) In case where the purchaser notifies the Exchange the completion of receipt of settlement quantity pursuant to [§48(7)] after notifying the filing of objection pursuant to Para. (3), it shall deem that the objection filed against the petroleum product received has been withdrawn. (Amended on May 16, 2013)

(5) In case of having received the notification pursuant to Para.(3), the Exchange shall not deliver the settlement amount payable to the concerned seller until the notice of completion of delivery or non-fulfillment of settlement according to the resolution of objection is received from the purchaser and shall not return the concerned good faith deposit. However, in case where the purchaser does not submit the impartial evidence relevant to the objection while making no effort pursuant to Para.(2) within fifteen (15) days of filing the objection, it shall deem that the delivery has been completed and the settlement amount may be paid. [Proviso on November 15, 2012]

(6) In case where the result of quality test pursuant to Para. (2) concludes that there is a defect, the seller shall bear the loss and all associated cost, and if no defect is found, the purchaser who filed an objection shall bear the loss and associated cost.

(7) When it deems that the insufficient quantity of petroleum product is delivered, the objection shall be filed before the product is transferred to the unloading equipment or facility of purchaser, and once the product is transferred to the unloading equipment or facility of purchaser, no objection shall be filed against the quantity received. [November 15, 2012]

§51. Measures against Settlement Delay, etc.

(1) In case where the purchaser has failed to fulfill the settlement obligation by 18:00 O'clock of trade execution day and the seller has failed to fulfill the settlement obligation by 22:00 O'clock on the trading day after the day of trade execution, the Exchange shall take the measures noted in each of the following. However, in case where the participant that is the purchaser cannot settle the trade due to the natural disaster and calamity, failure of computer system of settlement bank or the reason that the Exchange accepts, the concerned participant shall complete the settlement by the time determined by the Exchange: (Amended on July 13, 2012; May 16, 2013)

1. In case where the purchaser has failed to deliver the settlement amount, the Exchange shall transfer the good faith deposit of the concerned purchaser to the seller who is the counterparty of the trade;

2. In case where the seller has failed to complete the delivery of petroleum product (including the case where the quality does not meet the quality standards pursuant to [§24] of the Petroleum Business Act or the quantity is in short of settlement quantity), the Exchange shall transfer the good faith deposit of seller to the purchaser who is the counterparty of trade and shall return the settlement amount that the purchaser delivered. However, in case where the selling party has failed to complete the settlement for a part of trade quantity (the quantity based on quotation quantity unit: the same hereinafter), the good faith deposit and settlement amount calculated on the basis of unsettled quantity shall be returned to the buying party.

3. Notwithstanding Item 2, in case where the purchaser and seller have notified the Exchange to fulfill their settlement obligations by 18:00 O'clock of the 3rd trading day counting from the trading day in accordance with [Annex: Form 8], and the purchaser has notified the Exchange of the receipt of petroleum product pursuant to [§48(7)], the Exchange shall deliver the settlement amount paid by the purchaser to the seller and transfer the good faith deposit of the seller to the purchaser.

(2) Notwithstanding Para. (1)1 & 2, in cases where, pursuant to [§47(2)], a purchaser has changed its trading party, the Exchange shall not deliver the concerned good faith deposit to the seller who is the trading party but return it to the purchaser who made the concerned good faith deposit, and a seller has changed its trading party, the Exchange shall not deliver the concerned good faith deposit to the purchaser who is the trading party but return it to the seller who made the concerned good faith deposit. [May 16, 2013]

(3) Notwithstanding Para. (1)3, in case of corresponding to any of the following Items, the Exchange shall not transfer the concerned good faith deposit to the purchaser who is the counterparty of trade and return it to the seller who deposited it: (Amended on May 16, 2013)

1. When the purchaser to whom the good faith deposit is to be paid notifies the Exchange of its intention not to receive it under the agreement made between the trading parties in accordance with [Annex: Form 8]; and

2. When the seller has notified the Exchange of the fact of delay in settlement because of the belated agreement between the trading parties on the specification of the delivery at shipping point or delivery to destination noted in [§41(1)7].

(4) In case of taking a measure pursuant to Para. (1), the Exchange may suspend the whole or a part of the trading rights of the concerned participants.

§52. Loss Caused by Settlement Delay, etc.

(1) In case where the participant who did not pay the good faith deposit in cash pursuant to [§30(1) or (2)] has failed to fulfill its settlement obligation pursuant to [§51(1)], the concerned participant shall be required to deposit the concerned good faith deposit (it shall be the amount determined for the quantity for which the settlement obligation has not been fulfilled) in cash to the Exchange by the time that the Exchange asks to delivery without delay. (Amended on July 13, 2012)

(2) In case where the participant fails to deliver the good faith deposit by the specified time pursuant to Para.(1), the good faith deposit of KRW 5 million per quotation quantity unit (KRW 500,000 per 2,000 litters, in case of negotiated trade noted in [§39]) shall be imposed. In this case, the Exchange shall post the fact of nonpayment of good faith deposit on its homepage and quotation input program until the concerned good faith deposit is delivered. (Amended on May 2, 2012; July 13, 2012)

(3) In case of imposing the good faith deposit pursuant to Para.(2), the Exchange shall send a written notice to the concerned participant via the method specified in advance. (Amended on May 2, 2012)

(4) Upon receiving the good faith deposit pursuant to Para. (1) or Para. (2), the Exchange shall transfer the amount to the participant who is the counterparty of trade without delay. (Amended on May 2, 2012)

(5) In case where the participant has failed to deliver the good faith deposit pursuant to Para.(2) by the date notified pursuant to Para.(3), the amount determined by multiplying the concerned good faith deposit by 10/10,000 shall be imposed as the loss caused by settlement delay from the day after the notification date (including the holiday). (Amended on May 2, 2012)

CHAPTER VI. Market Surveillance and Disputes Mediation

§53. Prohibited Actions of Participant, etc.

The participant and its officers and employees shall be prohibited from engaging in an action noted in any of the following Items:

1. Submission of matched orders without having an intention of disposal or acquisition or submission of orders for wash trade without having an intention of transferring the ownership;
2. Continuous or sequential submission of quotations participating in the determination of market price, thus changing or fixing the market price, including the manipulation of the size of price increase or decrease;
3. False expression with the intention of causing the price change or expression leading to misunderstanding or spreading untruthful facts or rumors;
4. After causing price increase or decrease or fixing the price, conducting a large quantity trade;

5. Conducting an excessive trade or submitting a quotation that has an adverse impact or leads to a misunderstanding or concern, particularly in view of the supply and demand in the market;
6. Conspiring with other participants with the intention of causing the price surge or plunge or fixing the price; and
7. In addition, the conduct that undermines the fair trading system or tarnishes the public confidence in the market.

§54. Market Surveillance

- (1) The Exchange may oversee the trading situation for the discovery of fair price and reliable trading.
- (2) In case of overseeing the trading situation pursuant to Para. (1), the Exchange may request the participant to submit the report on the operation or financial condition related to the trade and reference materials, statements on facts and circumstance related to the trade and attend to make a statement, and may let the employees of Exchange to investigate into the operation, financial condition, books and other documents related to the trade.
- (3) The employee of Exchange who undertakes the investigation pursuant to Para. (2) shall carry with him/her the certificate showing such authorization and present it to the person concerned.

§55. Measures Taken Against Participant According to Result of Investigation

In case where the fact corresponding to any of the following Items was found as a result of investigation into the participant pursuant to [§54], the Exchange may take a measure corresponding to [§15(2)] against the concerned participant.

1. Case of infringing the laws or the Use Agreement and this Regulation (hereinafter referred to as the “trade-related laws and regulations”);

2. Case of falsely preparing the report or materials to be submitted pursuant to the trade-related laws and regulations or neglecting the submission of report or material;
3. Case of obstructing or rejecting the oversight pursuant to [§54]; and
4. In addition, when it was recognized that an action harming the fair trading system was taken while trading.

§56. Dispute Mediation

- (1) When there is a dispute with another participant in relation to the trade, the participant may request the Exchange to mediate such dispute.
- (2) When a request for mediation of dispute pursuant to Para.(1) is received, the Exchange may investigate into the dispute by visiting the concerned parties, requesting to appear, conducting onsite investigation or inquiring about the facts and information, or may request the concerned parties to verify and confirm or submit the relevant materials. In this case, the concerned parties shall not refuse to comply with the request, provided that there is no justifiable reason.
- (3) In case where it deems that an agreement between the concerned parties would be better for the amicable resolution of dispute, the Exchange may, verbally or in writing, recommend an agreement before commencing the mediation of case.
- (4) When both of the concerned parties accept the mediation decision of the Exchange, it shall deem that the mediation has been accomplished.
- (5) When it deems necessary, the case may be mediated by establishing a dispute mediation committee.

CHAPTER VII. Management of Trading

§57. Changing Terms and Conditions of Settlement, etc.

In case where it deems that the settlement of trade is not possible or difficult due to a natural disaster or calamity, war, fire, computer system failure or other reasons necessary for the management of trading, the Exchange may change the terms and conditions of settlement or settlement method.

§58. Continual Monitoring of Trading Situation

To ensure the timeliness and appropriateness of market measures taken pursuant to this Regulation, the Exchange shall constantly monitor the trading situation.

§59. Establishment of Petroleum Product Committee

(1) To deliberate the matters noted in each of the following Items, including the matters concerning the participant, revision or amendment of trading and settlement regulations, the Exchange may establish and operate the Petroleum Product Committee.

1. Matters concerning the participant and the amendment of trading and settlement regulations;
2. Matters concerning the recommendations on revision of relevant laws and decrees;
3. Matters concerning the amendment of Use Agreement and this Regulation;
4. Matters concerning the deliberation on the measures pursuant to [§15(2)]; and [November 15, 2012]
5. In addition, Matters that the President responsible for the operation of Petroleum E-Trading Department deems necessary.

(2) The Petroleum Product Committee shall consist of up to fifteen (15) members noted in each of the following Items and shall be chaired by the member noted in Item 1:

1. One (1) person, who is the Executive-Vice President responsible for the operation of Petroleum E-Trading;

2. Among the persons corresponding to each of the following Subitems, the one who is appointed by the Executive-Vice President responsible for the operation of Petroleum E-Trading: (Amended on November 15, 2012)

a. Two (2) persons, among the full-time officers and employees of the participants that are a petroleum refinery operator or import & export business operator; (Amended on November 15, 2012)

b. Three (3) persons, among the full-time officers and employees of the participants that are an authorized dealer, petro station or petroleum distributor; (Amended on November 15, 2012)

c. Two (2) persons, among the their full-time officers and employees of associations related to petroleum products; and (Amended on November 15, 2012)

d. Two (2) persons, among the their full-time officers and employees of the organization related to petroleum product; (Amended on November 15, 2012)

e. One (1) person, who is the public servant of the government agency responsible for petroleum product; and [November 15, 2012]

f. Four (4) persons, among the university professors, researchers or lawyers, who have professional knowledge about the laws or petroleum products. [November 15, 2012]

(3) The meeting of the Petroleum Product Committee shall be called when the Committee chairman deems it necessary by notifying each committee member of the

date, time and place of meeting in writing or electronic form by three (3) days before the meeting date. However, this provision shall not be applied to the case where the Committee chairman deems it necessary to call a meeting urgently.

(4) The meeting pursuant to Para. (3) may be called among seven (7) members noted in Para. (2), whom the Committee chairmen deems that they are needed for each agenda item. (Amended on November 16, 2012)

(5) To handle such tasks as the calling of meeting, preparation of agenda and minutes of meeting, the Petroleum Product Committee shall use the office of the Senior Vice President responsible for operation of Petroleum E-Trading as the secretariat.

CHAPTER VIII. Supplementary Provisions

§60. Employee Responsible for Petroleum Product

(1) The participant shall designate at least one (1) employee (hereinafter referred to as the “employee responsible for petroleum product”) to takes care of such tasks as the trade execution, verification of trading details, delivery and receipt of good faith deposit and settlement amount and other trade-related tasks on behalf of the concerned participant and register his/her name(s) with the Exchange.

(2) The participant shall not allow an employee not registered as the employee responsible for petroleum product to perform the tasks assigned to the employee responsible for petroleum product.

(3) When intending to register the employee responsible for petroleum product pursuant to Para.(1) or to cancel the registration thereafter, the participant shall prepare the request for registration (termination) of employee responsible for petroleum product noted in Annex 5 and submit it to the Exchange.

§61. Issuance of Particulars of Trade

(1) The participant may request the Exchange to provide a proof of the trade conducted. In this case, the Exchange shall issue, in writing or electronic form, a particular of trade without delay.

(2) When issuing a particular of trade noted in Para.(1), the Exchange may issue it by separating the trade carried out by e-trading and other trade, and in case of temperature corrected petroleum product, the particular of trade may be issued on the basis of the temperature corrected quantity and temperature corrected amount.
(Amended on November 15, 2012)

§62. Private Agreement

Provided that it does not infringe the Use Agreement and this Regulation, the participant may enter into a separate agreement with other participants for the matters concerning the petroleum product trade.

§63. Enforcement Rules

The matters necessary for the enforcement of this Regulation shall be stipulated in the Enforcement Rules. [May 2, 2012]

ADDENDA
(March 23, 2012)

§1. Effective Date

This Regulation shall become effective on March 30, 2012.

§2. Interim Measure for Calculation of Base Price

With regard to [§35], the base price of the market opening day shall be the value that the Exchange has calculated on the basis of the selling price of petro stations and the selling price of petroleum refinery operators that are posted on the internet homepage (www.opinet.co.kr), the online petroleum price information service, provided by the Korea National Oil Corporation. However, in case where the calculated price is not consistent with the quotation price unit, of the prices consistent with the quotation price unit, the price closest to the calculated price shall be used, and in case where there are two (2) or more such prices, the lower price shall be the base price.

ADDENDUM
(May 2, 2012)

This Regulation shall become effective on May 7, 2012. However, the amended provisions of [§39(2, excluding Item 4), §39(5), §43(1)1 and §47] shall be put into effect on May 29, 2012.

ADDENDUM
(July 13, 2012)

This Regulation shall become effective on July 23, 2012.

ADDENDA

(November 15, 2012)

§1. Effective Date

This Regulation shall become effective on November 19, 2012. However, the amended provisions of [§48(5)] shall be put into effect on December 3, 2012 and the amended provisions of [§44(1*p*)] shall be put into effect on December 27, 2012.

§2. Exceptions

The notification pursuant to [§14(2)] shall be applied starting with the trade for which the delivery has been completed by October 1, 2012 and the submission of shipping certificate pursuant to [§14(3)] shall be applied starting with the trade for which the delivery has been completed by November 1, 2012.

ADDENDUM

(May16, 2013)

This Regulation shall become effective on May 20, 2013.

[Annex 1] Criteria for selecting petro stations who have neglected the efforts to distribute the tax benefits, etc. to end-customers pursuant to [§13-2] {Pertaining to [§15(1)5]} [May 16, 2013]

The criteria specified in following Items 1 through 5 shall be calculated on a monthly basis based on the price per liter of each petroleum product and with the quarterly analysis.

1. The figure calculated by the following formula, taking the nationwide average revenue into account, shall be 1.2 or higher:

$$\frac{(\text{Total revenue of e-trading} - \text{average revenue of the whole country's petro stations})}{\text{The amount of tax benefits, etc.}}$$

2. The figure calculated by the following formula, taking the local average revenue into account, shall be 1.2 or higher:

$$\text{Total revenue of e-trading} / \text{Average revenue of local petro stations}$$

3. The figure calculated by the following formula, taking the e-trading revenue of the participant, shall be the amount of tax benefits, etc. or higher:

$$\begin{aligned} &\text{Selling price of petro stations} - (\text{purchasing price of e-trading} \times \text{portion of e-trading}) \\ &+ (\text{Average supplying price to refineries} \times \text{portion of the supply to refineries}) \end{aligned}$$

4. Among the petro stations that correspond to all of the Items 1 through 3 above, the petro station of which portion of e-trading of the concerned month is 80 percent or higher and the total amount purchased through e-trading of the concerned month is more than the average amount of purchased through e-trading by the petro stations that correspond to all of the Items 1 through 3.
5. The petro station that corresponds to all of the Items 1 through 3 every month of a quarter.

[Annex: Form 1] Application for participant Admission

(Amended on July 13, 2012; November 15, 2012)

Application for Participant Admission (for individual business operators)												
Information about business owner and application details												
Owner name	Resident registration no.	Mobile phone no.			FAX			E-mail				
Business category (check appropriate one)	Petroleum refinery	Petroleum import/export business operator			Authorized dealer			Petro station	Retail distributor			
Trade name handled (check appropriate ones)	SK	GS		Hyundai		S-Oil		Own brand	Economy brand			
Request for branch ID	Notification/communication method (check desired method)			FAX	E-mail	sms						
Payment bank (check one)	Shinhan	Woori	Foreign Exchange Bank	Busan								
Account no.	Name of bank	Account no.			Account owner							

Information about main business location for issuance of representative ID			
Trade mark	Business registration no.	Telephone no.	FAX no. (optional)
Address of main business location			Postal code
Address of petroleum storage facility (Purchaser)			
The undersigned consents to the Use Agreement and the Petroleum E-Trading Regulation of Korea Exchange and submits the application for participant admission as shown above. Date Name of business owner & signature To: CEO of Korea Exchange			
※ Documents to be attached: 1. A copy of certificate of registration of petroleum business pursuant to the Petroleum and Petroleum Substitute Fuel Business Act (both sides) 2. A copy of certificate of registration of business operator of main business location 3. In case of private business owner, a copy of identification card (resident registration card or driver's license) of business owner 4. A copy of bank account book under the name of business owner for receipt/payment of settlement amount and good faith deposit 5. In case of petro station or authorized dealer, a copy of the certificate of facility inspection such as the dangerous material manufacturing facility 6. In case of economy petro station or petro station selling products of other refineries, a copy of concerned agreement. 7. In case of authorized dealer corresponding to [§5/3p], the document proving the sale amount, certificate of tax payment and tax clearance certificate (issued within the recent 1 month)			

Application for Participant Admission (for corporations)												
Information about company and application details												
Name of company	Corporation registration no.	Name of representative		Telephone no.		FAX		E-mail				
Business category (check appropriate one)	Petroleum refinery operator			Petroleum import /export business operator			Authorized dealer			Petro station	Retail distributor	
Trade name handled (check appropriate ones)	SK		GS		Hyundai		S-Oil		Own brand		Economy brand	
Request for branch ID			Notification/communication method (check desired method)				FAX			E-mail		
Payment bank (check appropriate one)	Shinhan		Woori		Foreign Exchange Bank		Busan					
Bank account no.	Name of bank				Account no.				Account owner			
Information on main business location for representative ID												
Trade mark		Business registration no.			Telephone no.			FAXno.(optional)				

Address of main business location		Postal code	
Address of petroleum storage facility (Purchaser)			
The undersigned consents to the Use Agreement and the Petroleum E-Trading Market Business Regulation and submits the application for participant admission as shown above. Date Name of company & signature To: CEO of Korea Exchange			
※ Document to be attached: 1. A copy of certificate of registration of petroleum business pursuant to the Petroleum and Petroleum Substitute Fuel Business Act 2. A copy of certificate of business registration of main business location 3. In case of corporation, a copy of certificate of all details of corporate registration (the one issued in the recent one month) 4. A copy of bank account book under the company name for receipt/payment of settlement amount and good faith deposit 5. [Deleted] 6. In case of petro station or authorized dealer, a copy of certificate of inspection of facility such as dangerous material manufacturing facility or a copy of tank trailer/ lorry lease. 7. In case of economy petro station or petro station selling the products of other refineries, a copy of concerned agreement. 8. In case of authorized dealer corresponding to [5/3p], a document proving the sales amount. certificate of tax payment and tax clearance certificate (those issued within the recent 1 month)			

[Annex: Form 2] Request for Issuance of Branch ID

(Amended on November 15, 2012)

Request for Issuance of Branch ID (For private business operators)					
Information for representative ID					
Business category	Name of business owner	Resident registration no.	Trade name	Business registration no.	Number of branch IDs required
Address of business location					
Address of petroleum storage facility (Purchaser)					
Details of branch requiring ID (serial No.)					
Branch name	Trade name	Business registration no.	Telephone no.	FAX(optional)	
Address of petroleum storage facility (Purchaser)					
Details of branch requiring ID (serial No.)					
Branch name	Trade name	Business registration no.	Telephone no.	FAX(optional)	
Address of petroleum storage facility (Purchaser)					

Details of branch requiring ID (serial No.)					
Branch name	Trade name	Business registration no.	Telephone no.	FAX(optional)	
Address of petroleum storage facility (Purchaser)					
Pursuant to [§7] of the Petroleum E-Trading Market Business Regulation of Korea Exchange, we hereby request the issuance of branch ID as shown above. Date Name of business owner & signature To: CEO of Korea Exchange					
※ Documents to be attached: 1. In case where the business registration no. of branch ID is different from that of representative ID, a copy of certificate of business registration of branch 2. In case of petro station, petroleum distributor or authorized dealer, a copy of certificate of inspection of facility such as dangerous material manufacturing facility per branch ID					
Request for issuance of branch ID (For corporations)					
Information about representative ID					
Business category	Name of company	Corporate registration no.	Trade name	Business registration no.	Number of branch ID required

Address of business location				
Address of petroleum storage facility (Purchaser)				
Details of branch to which ID to be issued (serial No.:)				
Branch name	Trade name	Business registration no.	Telephone no.	FAX(optional)
Address of petroleum storage facility (Purchaser)				
Details of branch to which ID to be issued (serial No.:)				
Branch name	Trade name	Business registration no.	Telephone no.	FAX(optional)
Address of petroleum storage facility (Purchaser)				
Details of branch to which ID to be issued (serial No.:)				
Branch name	Trade name	Business registration no.	Telephone no.	FAX(optional)
Address of petroleum storage facility (Purchaser)				

Pursuant to [7] of the Petroleum E-Trading Market Business Regulation of the Korea Exchange, we hereby request to issue the branch ID according to the statement shown above.

Date

Representative of company & signature

To: CEO of the Korea Exchange

※ Documents to be attached:

1. In case where the business registration number of branch requiring ID is different from that of representative ID, a copy of certificate of business registration of branch location
2. In case of petro station, petroleum distributor or authorized dealer, a copy of certificate of inspection of facility such as dangerous material manufacturing facility per branch ID or a copy of tank trailer/lorry lease

[Annex: Form 3] Request for closing of branch ID

Request for closing of branch ID					
Information about representative ID					
Business category	Trade name or company name	Resident registration No. or corporate registration no.	Business owner or representative of company	Business registration no.	Number of branch ID to be closed
Address of business location					
Address of petroleum storage facility (Purchaser)					
List of branch ID to be closed					
Serial No.	Branch ID	Branch name	Reasons for closing		
1					
2					
3					
4					
5					
6					
7					
8					
9					
10					

Pursuant to [§7] of the Petroleum E-Trading Market Business Regulation of the Korea Exchange, we hereby request to close the branch ID listed above.

Date

Name of business owner or name of company representative &
signature

To: CEO of the Korea Exchange

[Annex: Form 4] Application for participant withdrawal
(Amended on November 15, 2012)

Application for Participant Withdrawal									
Name of business owner or company name		Resident registration no. or corporate registration no.		Name of representative					
Trade name (for representative ID)		Business registration no.		Representative ID					
E-mail			Telephone no.			FAX			
Address of main business location						Postal code			
Business category (check appropriate one)	Petroleum refinery operator		Petroleum import/export business operator		Authorized dealer	Petro station	Retail petro distributor		
Reason for withdrawal									
Pursuant to [§8] of the Petroleum E-Trading Market Business Regulation of Korea Exchange, we hereby submit an application for participant withdrawal as shown above. Date Name of business owner or company representative & signature To: CEO of the Korea Exchange									

[Annex: Form 5] Request for (termination of) registration of employee
responsible for petroleum products

Request for (termination of) registration of employee responsible for petroleum products											
(For private business operators)											
Name of business owner					Resident registration no.				Business category		
Trade name (for representative ID)					Business registration no.				Telephone no.		
Employee to be registered (terminated)											
Check the Request type				Name				Affiliated department		Position title	
Registration		Termination		Telephone no.				Mobile phone no.			
ID to administer (serial number for participant admission)											
The undersigned has verified the details stated above and consents the provision of personal information pursuant to the Use Agreement and the Petroleum E-Trading Regulation of the Exchange. Name of employee responsible for petroleum product & signature											
Employee to be registered (terminated)											
Check the type of request				Name				Affiliated department		Position title	
Registration		Termination		Telephone no.				Mobile telephone no.			
ID to administer (serial number for											

participant admission)							
The undersigned has verified the details stated above and consents the provision of personal information pursuant to the Use Agreement and the Petroleum E-Trading Regulation of the Exchange. Name of employee responsible for petroleum product & signature							
Pursuant to [§60] of the Petroleum E-Trading Regulation, I, the undersigned, request the (termination of) registration of employee responsible for petroleum product. Date Name of business owner & signature To: CEO of the Korea Exchange							
Request for (Termination of) Registration of Employee Responsible for Petroleum Product (for corporations)							
Name of company			Corporate registration no.		Business category		
Trade name (representative ID			Business registration no.		Telephone no.		
Employee to be registered (terminated)							
Check the request type			Name		Affiliated department		Position title
Registration		Termination	Telephone no.		Mobile phone no.		

ID to administer (serial number for participant admission)							
I, the undersigned, have verified the details stated above and consents to the provision of personal information stated above pursuant to the Use Agreement and the Petroleum E-Trading Regulation of the Korea Exchange. Name of employee responsible for petroleum product & signature							
Employee to be registered (terminated)							
Check the request type		Name			Affiliated department		Position title
Registration		Termination	Telephone no.			Mobile phone no.	
ID to administer (serial number for participant admission)							
I, the undersigned, have verified the details stated above and consents the provision of above noted personal information pursuant to the Use Agreement and the Petroleum E-trading Regulation of the Korea Exchange. Name of employee responsible for petroleum product & signature							
Pursuant to [§60] of the Petroleum E-Trading Regulation of the Korea Exchange, I, the undersigned, request the registration (termination) of employee responsible for petroleum product as noted above. Date Name of representative of company & signature To: CEO of the Korea Exchange							

[Annex: Form 6] Request for withdrawal of cash good faith deposit

Receipt	Input	Confirmation
※	※	※

Confirmation of withdrawal	※
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Request for withdrawal of cash good faith deposit

To: Korea Exchange

Pursuant to [§30] of the Petroleum E-Trading Regulation, the undersigned wish to withdraw the cash deposited as the good faith deposit as shown below.

Date

Name of the representative of company/ business owner & signature

(Name of responsible employee: contact address/ telephone no:

	Amount to withdraw	Name of bank, account no. & account holder
Good faith deposit	KRW _____	

Note:

1. Do not fill in the column marked with ※.
2. Name of company or business owner shall be the name stated in the application for participant admission
3. Signature (Seal) of the name of company/business owner shall be the signature (seal) used for the bank account that was reported to the Korea Exchange for the receipt and payment of good faith deposit and settlement amount.
4. Name of responsible employee and his/her contact address & telephone no. shall be the name, address and telephone no. of employee responsible for petroleum product for the representative ID that the participant has reported & registered with the Korea Exchange.
5. The account no. shall be the bank account no. under the participant's name as the receiving account that the participant registered with the Korea Exchange.

[Annex: Form 7] Request for return of settlement amount

Receipt	Input	Confirmation
※	※	※

Confirmation of withdrawal	※
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Request for Return of Settlement Amount

To: Korea Exchange

Pursuant to [§48] of the Petroleum E-Trading Regulation, I, the undersigned, wish to request the return of amount noted below.

Date

Name of company representative/ business owner & signature (seal)
(Responsible employee & contact address/telephone no.)

	Amount to be withdrawn	Bank name, account no & account owner
Settlement amount	KRW _____	

Note:

1. Do not fill in the column marked with ※.
2. Name of company representative/ business owner shall be the name that the participant stated in the application for participant admission.
3. Signature (seal) of the company representative/ business owner shall be the same signature (seal) used for the opening of bank account for the receipt and payment of settlement amount and good faith deposit, which the participant reported to the Korea Exchange.
4. Responsible employee & contact address/telephone no. shall be the name and contact address for representative ID that the participant reported and registered with the Korea Exchange.
5. The bank account no. shall be the bank account under the name of participant that the participant registered as the receiving account with the Korea Exchange.

[Annex: Form 8] Method of calculating the profits of Petro Station for Petroleum Products Subject to Tax Benefits pursuant to [§13-2]

[November 15, 2012]

Method of calculating the profits of Petro Station for Petroleum Products Subject to Tax Benefits pursuant to [§13-2]
(Pertaining to [§15(1)5])

The profit ratio or profit noted in the following Items shall be calculated on the basis of the price per liter per petroleum profit for each month or quota.

1. National average of surplus profit ratio

$$\{[\text{E-trading profit (Item 3)} - \text{Average Profits of petro stations in Korea (A)}] / \text{Percentage of e-trading ①}\} / \text{Amount of tax benefits ①}$$

2. Local average of surplus profit ratio

$$\text{E-trading profit (Item 3)} / \text{Average profits of local petro stations (B)}$$

3. E-trading profit

$$\text{Sale price of petro station ③} - \text{E-trading purchase price ④}$$

A. Average Profits of Petro Stations in Korea

$$\text{Average sale price of petro stations in Korea ⑤} - \text{Average supply price of refineries ⑥}$$

B. Average profits of local petro stations

$$\text{Average sale price of local petro stations ⑦} - \text{Average supply price of refineries ⑥}$$

Here, ⑤, ⑥ and ⑦ may be calculated for each of trade name of refineries (SK, GS,

Hyundai and S-Oil), economy brand name and private brand name.

- ① The percentage of purchase amount of petroleum products to which the tax benefit pursuant to [§13-2] against total sales amount of concerned petro station for the concerned month
- ② Sum of benefits per liter resulted from the application of quota tariff, return of dues on imported petroleum and exemption from the obligation to observe the renewable fuel standard (bio-diesel)
- ③ Average selling price of concerned month that the concerned petro station reported to the Korea National Oil Corporation
- ④ Average monthly purchase price of petroleum product to which the tax benefits pursuant to [§13-2] was applied
- ⑤ Average sale price of petro stations in Korea, which the Korea National Oil Corporation published each month
- ⑥ Average supply price of refineries, which the Korea National Oil Corporation publishes each month
- ⑦ Average sale price of local petro stations that are based in each of 16 metropolitan cities and provinces, which the Korea National Oil Corporation publishes each month